



Food inflation, which has generally been transitory, has become entrenched. Do you expect it to stay high in the coming years?

Food inflation depends on demand and supply. In the past, inflation was cyclical, but now it has been prolonged because of several reasons. One, of course, is the climate shocks. The second was disruption in global supply. Wheat prices started rising when the Russia-Ukraine war started. It affected many other commodities too. So internationally, there was high inflation in food, and these days one can't insulate the economy completely from global developments. But food prices have started cooling in the past few months internationally. In India, the net effect will depend on the nature of commodities. From October-November, I would expect food inflation to be much lower if sudden shocks don't occur. But with the new criteria for fixing minimum support prices, even if market forces dictate that prices should be much lower, the government will not let prices go below that floor level. That doesn't allow a sharp downward fall in prices.



Vegetable inflation has also been a big issue for some time now...

The consumption pattern of Indian households is undergoing a profound change, especially in terms of the preference for vegetables and fruits and animal sources of proteins. It is rising at a much faster rate than cereals and traditional foods. Earlier, the price elasticity of demand for vegetables and fruits was high, whereas for cereals, etc., which are staples,

it was very low. But now, people continue to eat vegetables like onions, even if they are costlier. Second, the use of processed vegetables as a substitute for fresh vegetables remains low in Indian kitchens. We are now working on two possibilities—one is expanding the production base of commodities. At present, the dominant producers of tomatoes are six or seven states. If this expands to 12 to 15 states as well as other seasons, the supply will improve. Second is the issue of storage. We have good storage for potatoes, but not for onions, which require special storage conditions. We are working on that. We are also trying to see how we can use technology to increase the shelf life of onions for longer storage and also to see how the share of the *kharif* season in onion production increases. My expectation is that when the *kharif* crop reaches the market in October, inflation will go down.



The Budget spoke about vegetable clusters being set up near major consumption centres. Can you elaborate on that?

Efforts are on, but it is not very easy to achieve. I always lament why farmers of Delhi grow wheat and even paddy, which are not high-value crops. The reason is the technological superiority of these two crops. They are risk-free crops, and their price is assured. These factors prevent farmers from diversifying towards vegetables, where they may get very high income, but in the case of a price crash, their income will fall sharply. These risks can be addressed by processing food items. **BT**

of wheat, rice, millets, and other crops that have been released by ICAR, 2,177 varieties are climate resilient to encounter adverse impacts of climate change, Minister of State for Agriculture & Farmers' Welfare Ram Nath Thakur told Rajya Sabha recently. Prime Minister Narendra Modi also recently released 109 high-yielding, climate-resilient, and biofortified seed varieties of agricultural and horticultural crops with the aim to enhance farm productivity and farmers' incomes. The government has also launched a National Mission for Sustainable Agriculture to support agricultural activities hit by climate change.

The government has several other weapons at its disposal to cool food prices in case of sudden shocks by improving supplies, including releasing buffer stock and imposing export curbs.

It has also tried to enhance investments in food processing, transport, and storage of perishables. The Budget announced that large-scale clusters for vegetable production will be developed closer to major consumption centres. But experts caution that these will see results slowly.

Chand warns that while science and technology are helping mitigate the impact of climate change in the short term, this will not be possible beyond a point.

His warning must be heeded, especially in a year like this, when the monsoon is good despite the sweltering summer, boosting hopes of a bumper harvest. That should not cloud the country's vision of finding a durable and long-lasting solution to protect against climate change. **BT**

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